

Disparities rising

One billion Indians have **minimal** purchasing power despite rapid growth says a Blume Ventures and Marcellus report

In a **startling revelation** about the **state** of the Indian economy, recent **findings** of a study **highlight** that nearly one billion Indians **possess** little to no spending power. According to a report by Blume Ventures— supported by **insights** from Marcellus Investment Managers—India’s consumer market is **undergoing profound** structural changes, **marked** by **deepening** disparities and a shifting focus towards premium products for the wealthy. **At the heart of** the report is the **disconcerting** revelation that India’s true “consuming class” is far smaller than what many might assume. The report identifies only about 130–140 million people as part of this active consumer base—roughly equivalent to the entire market of a country like Mexico. In addition, an extra 300 million Indians are categorised as ‘emerging’ or ‘aspirant’ consumers. The report **underscores** that India’s consumer market is not broadening by adding new **entrants** into the wealthy segment; instead, it is deepening. In practical terms, while **the overall size** of the **affluent** population **remains** relatively **stagnant**, the **existing** wealthy are growing even wealthier.

This trend of ‘**premiumisation**’ has seen brands **pivot** towards offering high-end, upgraded products that **cater** specifically **to** the rich. For example, ultra-luxury housing and premium smartphones are experiencing surging sales. **In contrast**, lower-priced alternatives are struggling. **Affordable** homes now represent a **mere** 18 per cent of the overall market. **Moreover**, the **booming ‘experience economy’**—**evident** in the rapid sell-out of high-priced concert tickets for international artists like Coldplay —further **illustrates** the evolving consumption pattern that favours **upscale offerings** over mass-market products. A critical dimension of the report is its analysis of income inequality in India. The long-term **trend** of widening disparities **has** been stark. The top 10 per cent of Indians now control 57.7 per cent of the national income—a dramatic increase from 34 per cent in 1990. **Conversely**, the bottom 50 per cent have seen their share decline from 22.2 per cent to just 15 per cent. The **affluent** continue to **prosper**, while the majority of the population **grapples with stagnant** incomes, **diminished** savings, and **mounting** debt. The situation is particularly **alarming** for India’s middle class. The report reveals that the middle 50 per cent of India’s tax-paying population has experienced income **stagnation** over the past **decade**. The situation is alarming as financial savings are nearing a 50-year low. The **insights** from the report **paint** a **sobering** picture of the Indian economy. While the nation **boasts** rapid growth in certain sectors and an expanding base of emerging consumers, the benefits of this growth are **unevenly** distributed. The government must focus on strategies that not only promote growth but also ensure that economic gains are more broadly shared. **Investments** in education, upskilling and initiatives to revive the middle class’s purchasing power **will** be crucial in **steering** India towards a more balanced and **inclusive** economic future.

- Red/blue coloring of words in the sentence indicates subject verb relationship; where ‘red’ denotes ‘subject’ and ‘blue’ denotes ‘verb’.

[Practice Exercise]

Vocabulary

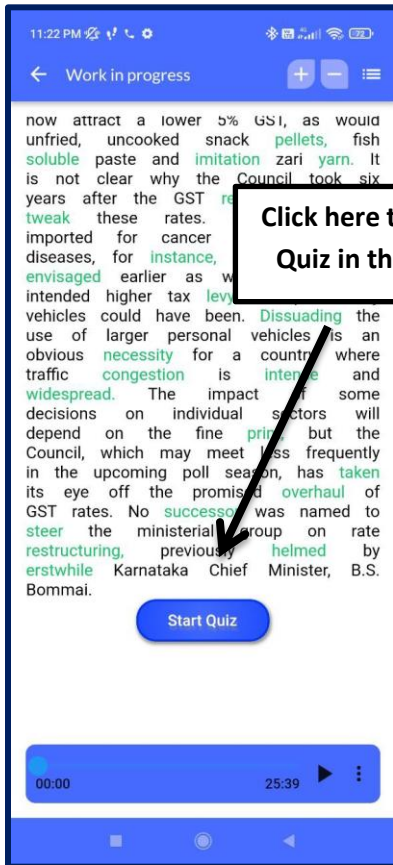
1. **Disparity** (noun) – Inequality, Difference, Gap, Imbalance, Contrast असमानता
2. **Minimal** (adjective) – Negligible, Slight, Small, Limited, Bare न्यूनतम
3. **Startling** (adjective) – Shocking, Surprising, Alarming, Astonishing, Stunning चौंकाने वाला
4. **Revelation** (noun) – Disclosure, Discovery, Announcement, Exposure, Insight खुलासा
5. **Finding** (noun) – Conclusion, Result, Discovery, Observation, Outcome निष्कर्ष
6. **Highlight** (verb) – Emphasize, Spotlight, Accentuate, Showcase, Feature जोर देना
7. **Possess** (verb) – Own, Have, Hold, Control, Retain रखना
8. **Insight** (noun) – Understanding, Perception, Awareness, Knowledge, Wisdom अंतर्दृष्टि
9. **Undergo** (verb) – Experience, Endure, Face, Suffer, Encounter गुजरना
10. **Profound** (adjective) – Deep, Intense, Significant, Serious, Far-reaching गहरा
11. **Mark** (verb) – Indicate, Signify, Represent, Highlight, Symbolize संकेत करना
12. **Deepening** (adjective) – Intensifying, Increasing, Growing, Expanding, Strengthening गहराता हुआ
13. **At the heart of** (phrase) – Central to, Core of, Focus of, Essence of, Crux of केंद्र में
14. **Disconcerting** (adjective) – Disturbing, Unsettling, Troubling, Alarming, Confusing चिंताजनक
15. **Underscore** (verb) – Emphasize, Highlight, Stress, Reinforce, Accentuate जोर देना
16. **Entrant** (noun) – Newcomer, Beginner, Participant, Candidate, Applicant प्रवेशकर्ता
17. **Affluent** (adjective) – Wealthy, Rich, Prosperous, Well-off, Opulent धनी
18. **Stagnant** (adjective) – Static, Unchanging, Dormant, Idle, Still स्थिर
19. **Existing** (adjective) – Current, Present, Prevailing, Ongoing, Existing मौजूदा
20. **Premiumisation** (noun) – a growth strategy where some category volume is converted to a higher value by persuading consumers to pay more for it प्रीमियमीकरण
21. **Pivot** (verb) – Shift, Turn, Rotate, Change, Adapt मुड़ना
22. **Cater (to)** (verb) – Serve, Provide, Supply, Accommodate, Fulfill पूरा करना
23. **In contrast** (phrase) – Conversely, Oppositely, Differently, On the other hand, Unlike इसके विपरीत

24. **Affordable** (adjective) – Economical, Cheap, Reasonable, Low-cost, Budget-friendly सस्ता
25. **Mere** (adjective) – Only, Just, Simple, Bare, Pure मात्र
26. **Moreover** (adverb) – Furthermore, Additionally, Besides, Also, In addition इसके अलावा
27. **Booming** (adjective) – Thriving, Flourishing, Growing, Expanding, Successful फलता-फूलता
28. **Experience economy** (noun) – an economic model where businesses focus on selling experiences rather than just products or services. The goal is to create memorable events that customers will enjoy, remember, and share
29. **Evident** (adjective) – Clear, Obvious, Apparent, Visible, Noticeable स्पष्ट
30. **Illustrate** (verb) – Demonstrate, Show, Explain, Depict, Represent व्याख्या करना
31. **Upscale offering** (noun) – a high-end product or service that is intended to appeal to affluent customers
32. **Conversely** (adverb) – Oppositely, Contrarily, On the other hand, In contrast, Rather इसके विपरीत
33. **Affluent** (adjective) – Wealthy, Rich, Prosperous, Well-off, Opulent धनी
34. **Prosper** (verb) – Thrive, Flourish, Succeed, Grow, Boom फलना-फूलना
35. **Grapple** (with) (verb) – Struggle, Wrestle, Deal, Cope, Tackle जूझना
36. **Diminished** (adjective) – Reduced, Decreased, Lessened, Weakened, Lowered कम हुआ
37. **Mounting** (adjective) – Increasing, Growing, Rising, Escalating, Intensifying बढ़ता हुआ
38. **Alarming** (adjective) – Disturbing, Worrying, Frightening, Shocking, Troubling चिंताजनक
39. **Stagnation** (noun) – Inactivity, Standstill, Dormancy, Sluggishness, Paralysis स्थिरता
40. **Decade** (noun) – Period of ten year दशक
41. **Sobering** (adjective) – Serious, Alarming, Thought-provoking, Grave, Humbling गंभीर
42. **Boast** (verb) – Brag, Show off, Flaunt, Claim, Exhibit डींग मारना
43. **Unevenly** (adverb) – Unequally, Irregularly, Disproportionately, Inconsistently, Lopsidedly असमान रूप से
44. **Steer** (verb) – Guide, Direct, Lead, Navigate, Control मार्गदर्शन करना
45. **Inclusive** (adjective) – Comprehensive, All-encompassing, Broad, Wide-ranging, Universal समावेशी
- **State** (noun) – Situation, condition दशा
 - **Stark** (adjective) – Unambiguous, blunt, blatant, glaring, simple स्पष्ट

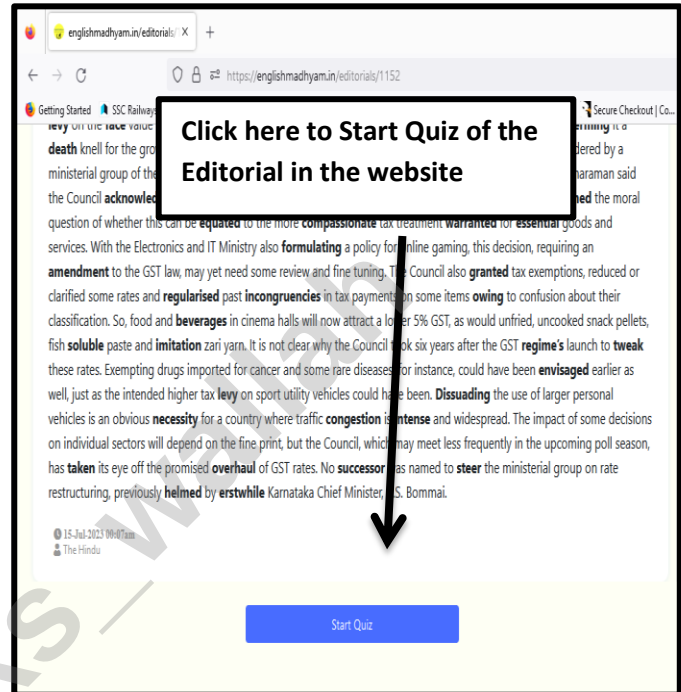
Summary of the Editorial

1. **Minimal Purchasing Power for a Billion:** The report highlights that around one billion Indians have little to no spending power.
2. **True “Consuming Class” Is Small:** Only 130–140 million people in India are identified as active consumers, a market size comparable to Mexico.
3. **Emerging or Aspirant Segment:** An additional 300 million Indians are categorized as ‘emerging’ consumers, indicating they have some capacity but remain far from affluent.
4. **Market Deepening, Not Widening:** India’s consumer market isn’t expanding by adding new wealthy entrants; instead, existing wealthy individuals are becoming richer.
5. **Rise of Premiumisation:** Brands are focusing on upscale, high-end products, catering specifically to the affluent.
6. **Luxury Housing and Premium Smartphones Thrive:** Sales of ultra-luxury homes and expensive gadgets have surged, reflecting growing wealth concentration.
7. **Affordable Housing Decline:** Affordable housing now makes up just 18% of the total market—indicating a shift away from lower-cost segments.
8. **Booming Experience Economy:** Rapid sellouts of pricey concert tickets for major international artists exemplify the move toward premium experiences.
9. **Widening Income Inequality:** The top 10% of Indians control 57.7% of national income, up from 34% in 1990, illustrating stark disparities.
10. **Shrinking Share for the Bottom Half:** Meanwhile, the bottom 50% have seen their share of income drop from 22.2% to 15%.
11. **Middle-Class Struggles:** The middle 50% of India’s tax-paying population faces income stagnation, reduced savings, and increasing debt levels.
12. **Decline in Financial Savings:** India’s overall financial savings rate is approaching a 50-year low, adding to the vulnerability of the middle and lower classes.
13. **Uneven Distribution of Growth:** Although some sectors are expanding rapidly, the benefits of India’s economic growth remain concentrated among the affluent.
14. **Need for Inclusive Strategies:** The editorial stresses the importance of government policies that promote broad-based growth rather than benefiting only a select few.
15. **Investment in Education and Upskilling:** Strengthening human capital and reviving middle-class purchasing power are seen as critical steps toward a more balanced economy.

Practice Exercise: Banking Pattern Based



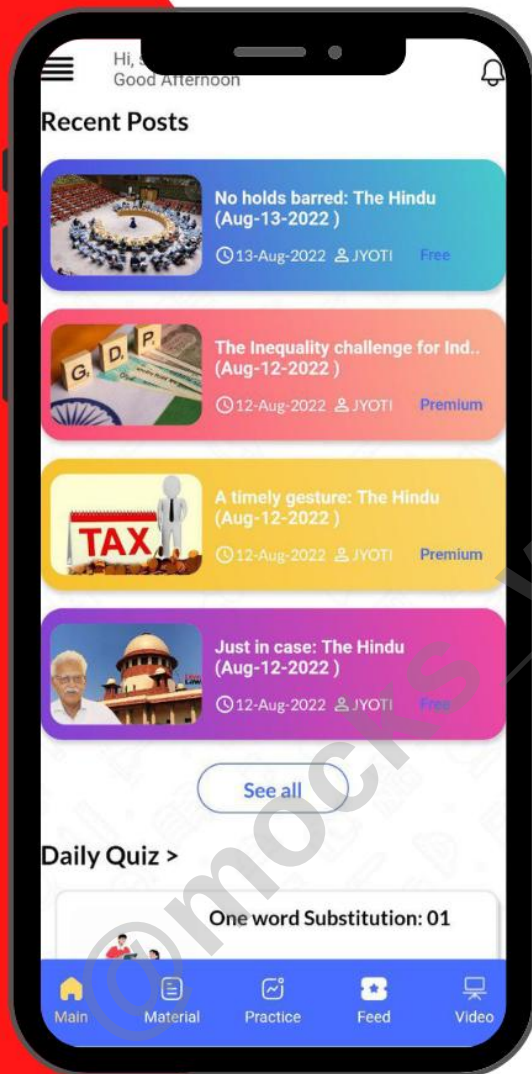
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